

Instead, I think a dual trading approach should have the most merit. During the period in which a market is locked within a broad trading range, we would want to play an anti-trending game—buying toward the lower range of the sideways formation and selling toward the upper range.

But once the market breaks out of this broad trading range, we would want to abandon this anti-trend approach and to follow the direction of the breakout. Here, we would be buying strength and selling weakness.

This is simple in concept but complex in execution. First, it must be specified what is meant by a “trading range.” How is it defined—by time period or by price containment within a specified range? And how does one specify the precise buying and selling ranges within the sideways formation?

GETTING ABOARD EARLY

The next problem is recognizing early when the market has changed from a sideways to a trending affair. The accompanying challenge is to get aboard the newly developing trend early in the move, but not too early, where the minibreakout could still be nothing more than a random and temporary foray out of the sideways range.

*I would counsel you to fasten your seat belt and
put on your crash helmet.*

Other considerations would include a means of limiting losses on adverse trades. I would suggest that it be pegged to some percentage of the respective margin, say 50% to 75%. But if the position turns out to have been exited prematurely (and this is not always easy to discern), you must have some built-in means for entering the market again. It is truly writ-